# WARRANTY ATLAS · New Mexico (NM)

Law last amended: 2018 (eff. 2018-03-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-10-19

Cites: N.M. Stat. Ann. § 57-16-7 (NMSA 1978); N.M. Stat. Ann. § 57-16-5.1 (clerical-error chargebacks); N.M. Stat. Ann. §§ 57-16-11, 57-16-13 (injunction; damages)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Statute silent on time / not established | § 57-16-7(D) |
| **Mfr-backed service contract** | **Not addressed** | - | § 57-16-7(B) |
| **CPO warranty** | **Not addressed** | - | § 57-16-7(B) |
| **Independent service contract** | **Not addressed** | - | § 57-16-7(A) |

Hourly rate: Retail customer rate for labor and diagnostic work: dealer declares its average customer-pay labor rate from the lesser of 100 sequential customer-paid ROs or 90 days of customer-paid ROs (repairs within 180 days). Manufacturer may refuse if miscalculated or it 'unreasonably exceed[s]' all other same-line dealers in the relevant market area. No more than 2 increases per calendar year.

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. written notice of the disapproved claim setting forth the reasons | § 57-16-7(H); filing deadline and 'paid ... within thirty d… |
| **Payment** | 30 days after submission. Dealer filing deadline: within one year of the date the work was performed. No chargeback of a paid claim for an incidental failure, clerical error or technicality if the dealer corrects it within 90 days… | |
| **Chargebacks** | 6 months; fraud: Fraudulent claims may be audited/charged back during any period for w…. Only unsubstantiated, incorrect or false claims; 6 months after payment. No chargeback for incidental/clerical failures corrected within 90 days (§ 57-16-5.1). Sales/service incentive audits also limited to 6 months (§ 57-16-7.1). | § 57-16-7(G) |
| **Rate resubmission** | increase granted no more than twice in one calendar year. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: none listed. | § 57-16-7(D); see (C) (180-day window, 30-day effect for ma… |
| **Mfr response** | Silent; no response = approved: no rule in statute. Challenge: Rate was incorrectly calculated, or unreasonably exceeds the rates of all other franchised dealers in the same relevant market area offering the same or a competitive line | § 57-16-7(E) |
| **Penalties** | Injunctive relief (§§ 57-16-11, -12); actual damages, costs and reasonable attorney's fee, punitive damages up to 3x actual if malicious (§ 57-16-13); 4-year limitation (§ 57-16-14) None in Art. 16 against manufacturers (§ 57-16-16 misdemeanor applies only to dealers violating § 57-16-4) | N.M. Stat. Ann. §§ 57-16-11 to 57-16-14, 57-16-16 |
| **Audit procedures** | Audit climate score 44/100 (High restrictiveness; chargeback limits 41/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: 90 days; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 57-16-7(H); filing deadline and 'paid ... within thirty d…): "Any claim not specifically disapproved in writing within thirty days following receipt is approved, and the manufacturer is required to pay that claim within thirty days of receipt of the claim."*
***Chargebacks*** *(§ 57-16-7(G)): "The manufacturer has the right to audit claims and to charge the dealer for any unsubstantiated, incorrect or false claims for a period of six months following payment."*
***Rate*** *(§ 57-16-7(D); see (C) (180-day window, 30-day effect for ma…): "A dealer shall establish and declare the dealer's average customer pay labor rate by submitting to the manufacturer the lesser of one hundred sequential customer-paid service repair orders or ninety days of customer-paid service repair orders"*
***Factory time*** *(§ 57-16-7(D)): "A manufacturer shall compensate a dealer for labor and diagnostic work for recall or warranty repairs at the rates charged by the dealer to its retail customers for such work."*

## Notes

Official NMOneSource text now reachable (earlier 403) and matches the Justia mirror used before. No statutory list of exclusions from the rate sample. No manufacturer response deadline or deemed approval for the labor rate. (I) bars cost recovery by reduction or surcharge. (J) bars denying warranty/recall claims found during a separate customer repair. (K) excludes recreational travel trailers and motor-home living systems. 2026 SB 22 (manufacturer licensing) died, so there is no pending change.

Source: official · https://nmonesource.com/nmos/nmsa/en/4423/1/document.do (official NMOneSource NMSA 1978 Chapter 57 PDF; site 'last modi… · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.